

# **Guidelines for transferring costs associated with supplier-caused field and 0 km complaints**

## Foreword

In front of you is the second edition of the information leaflet for the definition of the root cause ownership investigation process and the transferral of costs associated with supplier-caused field and 0 km complaints as they pertain to purchased parts. Within the context of a customer-oriented quality obligation approach adopted by the Volkswagen Group and its suppliers, unjustifiable charges are to be borne by the root cause owner. The procedure laid out in this publication details the quality management and existing warranty agreements described in the Volkswagen Group manual "*Formel Q-konkret*". Upon order acceptance by the supplier, the contents of the "*Formel Q-konkret*" become a binding agreement with the respective Group Company (see foreword in "*Formel Q-konkret*", 4th revised edition, September 2008).

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## **1. Root cause ownership investigation process for field complaints relating to purchased parts**

### **1.1. Basic principles for defining the technical factor for parts damaged in the field**

In order to reduce the analysis expenditure for all parts damaged in the field, assignment to the root cause owner and the associated cost sharing on the part of the supplier is determined by means of random sampling. This supplier share (technical factor), determined by an analysis mutually agreed upon by Volkswagen and the supplier, is a whole-number percentage value.

The technical factor is always determined for components of a particular brand / company belonging to the VW Group; a vehicle specific determination of this factor is possible as required. The application of technical factors from other brands / companies belonging to the VW Group due to a similar fault symptom is possible with the mutual consent of its quality assurance staff and the respective supplier.

The quality assurance staff of the installation plant is responsible for defining the technical factor. For identical parts that are used in multiple projects, the lead plant quality assurance staff of a brand / company belonging to the VW Group issuing the release defines the technical factor together with the supplier. Brands / companies of the VW Group could set up this technical factor or have to define their own technical factor. Vehicle or project-specific definitions for identical parts are to be made in conjunction with the initially active quality assurance staff.

The Head of Quality Assurance, Purchased Parts confirms the technical factor in coordination with the Head of Quality Assurance, as the Quality Assurance BTV, by means of his signature. The newly defined technical factor is communicated by means of a form from the department processing the charge back. Brand-specific deviations with regard to responsibilities within Quality Assurance are established by the responsible Heads of Quality Assurance. Deviations from this procedure may be found in the company-specific and brand-specific process descriptions.

## 1.2. Determination of technical factors, processing and transferral of costs to suppliers

The procedure for the processing and the charge back of suppliers is established by the department processing the charge back, in coordination with the Quality Assurance department at the first-using plant. In this, a distinction is made between the following two variations:

a) The basis for determining the technical factor is the affected defective part (part number).

The degree of disassembly for assemblies is determined by the replacement parts used. The analysis and cost transfer agreements are made with the supplier of the respective damaged or replacement part. This also applies if the Volkswagen Group does not acquire the components directly but through the first tier supplier.

b) The affected component (part number) or assembly in the state in which it was delivered serves as the basis for determining the technical factor. The agreements are made with the first tier supplier. The second tier supplier is included in the defective part analysis as agreed with the first tier supplier. The additional assignment and processing of cost transfers with subcontractors of individual parts is always done through the first tier supplier. As a rule, this is also applicable for volumes from designated part suppliers.

Only exchanged defective parts are relevant for determining the technical factor. Repairs without a parts exchange are excluded. No technical factors are determined for non-exchanged repairs caused by the supplier.

The reclaim procedure for non-exchange repairs caused by the supplier is handled case-by-case.

For new component runs (new part number, also new index level) or relocation of production (new HCD1/supplier no.), the supplier is always held 100 percent accountable until the technical factor has been determined.

Technical factors are determined for defined periods of time and are valid for a maximum of 12 months.

After series production has ended, the technical factors are set until revoked.

Technical factors are determined for defined production periods and are valid until revoked.

### **Regelung zur Regressabwicklung von lieferantenverursachten Feld- und 0km-Beanstandungen**

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For components for which no fault was determined after an initial analysis (kFf/TNF), the fault is always equally shared between the Volkswagen Group and the supplier in the interest of a quality-oriented approach until final clarification of the cause is made by further investigations.

Every part delivered to the Volkswagen Group must be labeled in accordance with the VW Norm 105 00 ff.

If the manufacturer code is missing, the technical factor is generally 100% because the part does not meet Volkswagen's requirements. The expenses resulting from the missing label are to be borne by the supplier.

### **1.3. Criteria for determining suitable random samples to define technical factors**

The defective parts that are included as random samples for the analysis fail within the applicable warranty period for the supplier.

The defective parts are marked by the dealer as fault-causing and not as the result of consequential damage.

An analysis report is prepared by the Volkswagen Group or the supplier for the defective parts.

The random sample always refers to a defined fault period within the warranty time agreed upon with the supplier.

The technical factor can be determined for one or multiple markets. A reference market can be used to determine technical factors. Unless otherwise agreed, the reference market is always the home market of the respective brand.

Over the course of the product-monitoring process and when determining the technical factors for charge back processing for VW Passenger Cars and VW Commercial Vehicles, the first 20 damaged parts under one part number for every new model year are requested from the German market and these parts are available to the BTVs for joint analysis. Parts required over and above the so-called D20 (Default 20) parts request can, if needed, be requested in consultation

with the BTV. The parts request process may be set up differently in other brands of the VW Group.

Components that cannot be analyzed because the reason for failure can no longer be determined (e.g. subsequent damage to the component) are removed from the random sample.

The random sample consists only of defective parts from a single supplier.

#### 1.4. Criteria for determining the supplier share:

- a) Material and manufacturing faults in connection with the defective part.
- b) Assembly faults and process faults at supplier
- c) Design responsibility is regulated in the "Konzeptverantwortungsvereinbarung" (KVV), the Design Responsibility Agreement.
- d) Components damaged further at the dealer's, if the reason for failure can be traced back to the supplier (e.g. defective part is additionally damaged upon removal).
- e) Assignment of root cause ownership based on product changes, process changes as well as relocations of production not reported or released by Volkswagen.
- f) Missing labeling of the components as per VW 10500 ff (technical factor 100 percent).

#### 1.5. Criteria for determining Volkswagen's share:

- a) Damage that was caused by the customer.
- b) Assembly and process faults on the part of the Volkswagen Group.
- c) Damage that was caused by other components or the environment in the vehicle.
- d) Design responsibility is regulated in the "Konzeptverantwortungsvereinbarung" (KVV), the Design Responsibility Agreement.

## **2. Procedure for transferring costs associated with supplier-caused 0-km complaints as they pertain to purchased parts**

### **2.1. Basic principles for determining the root cause owner for 0-km complaints**

Processing the 0-km complaints per complaint case always includes submission of the affected parts. For CKD parts, the submission of the affected components is always regulated by individual arrangement.

Required sorting and rework actions are typically carried out by the supplier or by a sorting company commissioned by the supplier and approved by the Volkswagen Group Quality Assurance. Unavoidable immediate actions to maintain production can be initiated and charged to the supplier by the Volkswagen Group, provided that the supplier cannot carry out these actions themselves. The supplier is to be informed immediately.

Acknowledged defective parts become the property of the supplier.

### **2.2. Transferring of costs for supplier-caused faults**

Transferring of costs for 0-km complaints takes place on the basis of recognized cases that result from technical analyses, the results of which are jointly borne by the supplier and the respective quality assurance division of the Volkswagen Group.

Payment of materials is commensurate with the OEM (EA) series price.

Unavoidable removal and installation costs, as well as ancillary costs incurred, are paid by the supplier, provided that the defect(s) was/were determined after installation. They may not exceed the typical expenditure for comparable applications. If necessary, a joint determination is made also taking into account the situation of comparable vehicles from other manufacturers featuring the same design principle.

Transferring of removal and installation costs takes place according to the current internal hourly labour rate of the respective cost centers.

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Costs of essential vehicle movements at the vehicle storage areas are borne by the supplier.

The supplier assumes the travel costs for sorting and reworking actions at external vehicle storage areas and ports.

Costs for activities performed by a Volkswagen Group company on behalf of the supplier are transferred to the supplier on an individual time and material basis. This includes supplier-caused repeat audits and 2-day productions as well as process-improvement activities due to product defects.

The costs associated with component analyses on defective parts for defect research are borne by the supplier if the supplier has been identified as the root cause owner.

Additional expenditures for supplier-caused repetitions of component releases such as repeated sample supplies, a missing quality designation in pre-series production and missing material data sheets/IMDS entry are borne by the supplier with a lump-sum charge. The lump-sum charges comprise personnel and logistics expenses.

Payment of logistics expenses takes place in accordance with the current internal hourly labor rate of the respective cost centers. Transport, packaging and freight costs for sea freight and in exceptionally justified cases, also for air freight, commensurate with verified expenditure for replacement part shipments and return shipments will be transferred to the supplier.